

COMMERCIAL LEASE AGREEMENT

Brooklyn Bridge Park

THIS LEASE AGREEMENT (the "Lease") is made and entered into as of this 11th day of March, 2026 (the "Effective Date"), by and between the **Brooklyn Bridge Park Development Corporation**, a subsidiary of the New York State Urban Development Corporation d/b/a Empire State Development, having an office at 1 Centre Street, New York, NY (hereinafter referred to as "Landlord"), and **United Parcel Service, Inc. (UPS)**, a Delaware corporation having its principal place of business at 55 Glenlake Parkway, NE, Atlanta, GA 30328 (hereinafter referred to as "Tenant").

ARTICLE 1: THE PREMISES

1.1 Demised Premises. Landlord hereby leases to Tenant, and Tenant hereby hires from Landlord, those certain buildings and structures located in the DUMBO/Fulton Ferry section of Brooklyn, New York, identified on the tax maps of Kings County as **Block 26, Part of Lot 1**. The premises, collectively referred to herein as the "Conversion Property," consist of a total land area of approximately **115,533 square feet** (2.65 acres).

1.2 Detailed Composition. The Premises are comprised of two primary components as identified in the 2013 Goodman-Marks Appraisal:

- **The Empire Stores Site:** Seven (7) contiguous four- and five-story historic shell buildings containing an aggregate gross building area (GBA) of **327,696± square feet**. The ground floor footprint is 79,650± square feet, with 75,258± square feet of interior ground floor area.
- **The Tobacco Warehouse Site:** A landmarked structure with exterior walls approximately 24 feet high, encompassing an interior footprint of **25,800± square feet**.
- **Pedestrian Pathway:** An 8,637± square foot portion of the former Old Dock Street situated between the Tobacco Warehouse and Empire Stores, which provides public access to the Brooklyn Bridge Park.

1.3 Condition of Premises. Tenant acknowledges that the Premises are currently in a highly deteriorated state, having been vacant for approximately 73 years (originally reported as 60+ years in 2013). Tenant accepts the buildings in their "as-is" condition, including known structural issues such as shifting and sinking towards the northwest portion of the site, currently supported by steel braces. Tenant further acknowledges that the ground floors are subject to flooding from the East River, having been engulfed by 4 to 5 feet of water during historic storm events.

ARTICLE 2: LEASE TERM

2.1 Initial Term. The initial term of this Lease (the "Initial Term") shall be for **ninety-nine (99) years**, commencing on July 1, 2026 (the "Commencement Date") and

expiring at midnight on June 30, 2125, unless sooner terminated or extended as provided herein.

2.2 Possession. Landlord shall deliver possession of the Premises to Tenant on the Commencement Date. Because the buildings require extensive renovation to reach a "rentable" state, the first **sixty (60) months** of the term shall be designated as the "Construction Period."

ARTICLE 3: RENT AND FINANCIAL OBLIGATIONS

3.1 Base Rent. Tenant shall pay to Landlord a monthly Base Rent according to the following schedule (all numbers are hypothetical for the purpose of this draft):

- **Years 1–5 (Construction Period):** \$50,000.00 per month (\$600,000.00 annually) to account for the lack of functional floor area during renovation.
- **Years 6–10:** \$850,000.00 per month (\$10,200,000.00 annually).
- **Years 11–20:** \$1,020,000.00 per month (\$12,240,000.00 annually).
- **Years 21–99:** Base Rent shall increase by 2.5% annually on each anniversary of the Commencement Date.

3.2 Percentage Rent. In addition to Base Rent, Tenant shall pay Landlord "Percentage Rent" equal to **3% of Gross Revenue** generated by any sub-tenants or retail operations within the Empire Stores complex that exceed an annual natural break point of \$50,000,000.00.

3.3 Triple Net (NNN) Nature of Lease. This is a "Triple Net Lease." Tenant shall be responsible for 100% of all Real Estate Taxes, insurance premiums, and Operating Expenses related to the Premises.

ARTICLE 4: LANDMARK PRESERVATION AND COMPLIANCE

4.1 Historic Status. Tenant acknowledges that the Premises are contributing properties within the **New York City Fulton Ferry Landing Historical District** and carry a **New York City Landmark Classification**. Consequently, the existing improvements cannot be demolished and must be retained and renovated strictly according to landmark specifications.

4.2 Second Amended Letter of Resolution. The Premises are subject to the **Second Amended Letter of Resolution** dated February 26, 2010, and the **Term Sheet of May 10, 2012**. These documents enforce specific preservation and public use requirements on both the Tobacco Warehouse and Empire Stores. Tenant agrees to comply with all mandates therein, notwithstanding the hypothetical exclusions used for appraisal purposes.

4.3 Preservation of Exterior Walls. * Tobacco Warehouse: Tenant acknowledges that the Tobacco Warehouse is currently a "structure" rather than a "building,"

consisting primarily of 24-foot-high exterior walls with no roof or windows. These walls must be preserved.

- **Empire Stores:** The seven contiguous historic shell buildings must be maintained to preserve their historic classification.

ARTICLE 5: CONSTRUCTION AND RENOVATION COVENANTS

5.1 Construction Period. Tenant shall have a period of sixty (60) months (the "Construction Period") to perform all "Vanilla Box" and structural renovations required to bring the Premises to a rentable and functional state.

5.2 Empire Stores Renovation. Tenant shall perform the following work at the Empire Stores site:

- **Structural Stabilization:** Repair of shifting and sinking areas, particularly in the northwest portion of the site where steel braces are currently required.
- **Building Cores:** Installation of one core per building, to include one (1) elevator and one (1) staircase per building, providing access to all floors.
- **Vanilla Box Creation:** Renovation of the floor plates for each of the seven buildings to a "vanilla box" standard.
- **Renovation Costs:** Based on 2013 estimates, hard costs for this renovation are projected at **\$263.00 per square foot**, totaling approximately **\$86,305,660.00** for the 327,696± square foot area.

5.3 Tobacco Warehouse Construction. * New Building Footprint: Tenant is permitted to construct a new building within the existing exterior walls of the Tobacco Warehouse.

- **Height Restrictions:** While the original structure was five stories, Tenant is restricted to a **two-story structure** (approximately 24 feet in height) unless a taller proposal is approved by the Landmarks Preservation Commission.
- **Usable Area:** The new building shall contain a footprint of approximately **23,220± square feet** (accounting for a 10% loss factor for the existing interior dividing wall) for a total building area of **46,440± square feet**.
- **Exterior Wall Costs:** Renovation of the landmarked walls is estimated at **\$26.00 per square foot** in hard costs.

5.4 Flood Mitigation. Tenant acknowledges that the ground floors of the Empire Stores and the Tobacco Warehouse are subject to inundation and were engulfed by 4 to 5 feet of water during Superstorm Sandy. Tenant must implement flood-proofing measures in compliance with FEMA Post-Hurricane Sandy Advisory Base Flood Elevation Map 407317.

ARTICLE 6: PEDESTRIAN PATHWAY AND PUBLIC ACCESS

6.1 Pedestrian Pathway. The Premises are encumbered by an **8,637± square foot Pedestrian Pathway** (a portion of Former Old Dock Street) situated between the Tobacco Warehouse and Empire Stores. **6.2 Reservation of Rights.** Landlord reserves a "Reservation of Rights" for this pathway to provide public access to the Brooklyn Bridge Park. Tenant shall not obstruct this pathway and shall maintain it in a manner consistent with the rest of the Park

ARTICLE 7: ENVIRONMENTAL PROVISIONS

7.1 Environmental Status. Tenant acknowledges receipt of the **Phase I Environmental Site Assessment** (AKRF, Inc., December 2003) and the **Phase II Environmental Site Assessment** (AKRF, Inc., April 2005). These reports indicate the presence of specific soil, subsoil, and ground water quality issues, as well as asbestos and lead paint within the Empire Stores shell.

7.2 Remediation Responsibility. * **Landlord's Warranty:** Landlord warrants that any *known* adverse environmental conditions existing as of the Commencement Date shall be remediated at Landlord's expense.

- **Tenant's Assumption:** This Lease is subject to the **Extraordinary Assumption** that any currently unknown contamination discovered during the Construction Period will be fully remediated to allow for the intended commercial use.
- **On-going Compliance:** Tenant shall, at its sole cost and expense, comply with all Environmental Laws and shall not introduce any Hazardous Materials to the Premises, excepting standard industrial cleaners and vehicle fluids used in the ordinary course of UPS logistics operations, which must be stored in accordance with NYC Fire Department regulations.

ARTICLE 8: FLOOD MITIGATION AND WATERFRONT RISK

8.1 Acknowledgment of Flood Risk. Tenant acknowledges that the Premises are located in a high-risk flood zone proximate to the East River and were previously engulfed by **four to five feet of water** during Superstorm Sandy.

8.2 Mandatory Flood-Proofing. * Tenant must incorporate flood-mitigation systems into the renovation of the Empire Stores and the Tobacco Warehouse.

- All electrical, mechanical, and HVAC systems must be located above the **Post-Sandy Advisory Base Flood Elevation** or otherwise encased in water-tight enclosures.
- Ground floor "Vanilla Box" finishes must utilize water-resistant materials suitable for rapid cleaning and recovery following a flood event.

ARTICLE 9: INSURANCE REQUIREMENTS

9.1 Tenant's Insurance Obligations. Due to the high risk of flooding and the historical value of the structures, Tenant shall maintain the following insurance coverage:

- **All-Risk Property Insurance:** Coverage for the full replacement cost of the Empire Stores (\$105,000,000.00 hypothetical value) and the Tobacco Warehouse (\$25,000,000.00 hypothetical value).
- **Flood Insurance:** Tenant must maintain a primary flood policy through the National Flood Insurance Program (NFIP) plus an "Excess Flood" policy to cover the full insurable value of the improvements.
- **Commercial General Liability (CGL):** Limits of no less than **\$10,000,000.00 per occurrence** and \$25,000,000.00 in the aggregate, naming the Landlord and the Brooklyn Bridge Park Corporation as Additional Insureds.
- **Builder's Risk:** During the Construction Period, Tenant shall maintain Builder's Risk insurance covering 100% of the projected renovation costs (\$86,305,660.00 for Empire Stores plus associated Tobacco Warehouse costs).

ARTICLE 10: UTILITIES AND SERVICE SYSTEMS

10.1 Utility Installation. As the buildings have been vacant for 60+ years and are not currently functional, Tenant is responsible for the total build-out of all utility connections, including but not limited to:

- **Water and Sewer:** Connection to the NYC DEP mains located beneath Water Street.
- **Electricity:** Installation of a high-capacity transformer vault to support UPS logistics equipment and sub-tenant retail needs.
- **Vertical Circulation:** Installation of at least **one elevator and one staircase per building** (7 total for Empire Stores) to provide access to all floors.

COMMERCIAL LEASE AGREEMENT (Section 4 of 12)

This section focuses on the operational limitations of the site, specifically balancing UPS's logistics needs with the public-facing requirements of the Brooklyn Bridge Park mandate, alongside the rights for subleasing the Empire Stores.

ARTICLE 11: USE COVENANTS

11.1 Primary Permitted Use. Subject to the Landmark and Park restrictions, Tenant (UPS) shall use the Premises for:

- **Logistics & Distribution:** A high-tech, "green" last-mile delivery hub utilizing electric vehicles and bicycle couriers to service the Downtown Brooklyn and DUMBO corridors.
- **Corporate Offices:** Regional administrative offices for UPS Northeast Operations.

- **Retail/Customer Center:** A full-service UPS Customer Center for packing, shipping, and "Access Point" locker services.

11.2 Mandatory Mixed-Use Requirements. Tenant acknowledges that under the **Empire Stores Development Plan**, the Premises must maintain a mixed-use profile. Total square footage shall be allocated approximately as follows:

- **Retail/Restaurant (Ground & 2nd Floor):** Minimum of 80,000 square feet.
- **Office/Creative Space (Upper Floors):** Minimum of 200,000 square feet (inclusive of UPS corporate office).
- **Public/Cultural Use (Tobacco Warehouse):** 100% of the Tobacco Warehouse footprint (approx. 25,800 sq. ft.) must be dedicated to a community or cultural sub-tenant, as per the 2010 Letter of Resolution.

11.3 Prohibited Uses. Tenant shall not use the Premises for:

- Heavy industrial manufacturing.
- Long-term storage of hazardous chemicals beyond standard vehicle maintenance fluids.
- Any use that creates a "public nuisance" or emits odors/noise that interferes with the enjoyment of the adjacent Brooklyn Bridge Park by the general public.

ARTICLE 12: SUBLEASING AND ASSIGNMENT

12.1 Right to Sublease. Tenant is granted the right to sublease portions of the Empire Stores to third-party "Creative Office" and "Boutique Retail" tenants without Landlord's prior individual consent, provided that:

- The sub-tenant's use is consistent with a "Class A" mixed-use development.
- The sub-lease term does not exceed the master Lease Term.
- Tenant remains primary liable for all Base Rent and NNN obligations.

12.2 Cultural Sub-Tenant (Tobacco Warehouse). Tenant *must* enter into a long-term sub-lease (minimum 25 years) with a non-profit cultural organization (e.g., St. Ann's Warehouse or similar entity) for the Tobacco Warehouse site. The rent charged to such cultural sub-tenant shall not exceed **\$1.00 per year**, as this is a community-benefit requirement of the master lease.

12.3 Assignment. Tenant may not assign this Lease to a third party without the express written consent of the Landlord and the Brooklyn Bridge Park Corporation, which may be withheld in their sole and absolute discretion. A change in control of more than 50% of the stock of UPS shall be deemed an assignment for the purposes of this Article.

ARTICLE 13: LOGISTICS OPERATIONS & CURBSIDE MANAGEMENT

13.1 Fleet Restrictions. To maintain the aesthetic and environmental integrity of the Park, UPS agrees to transition the delivery fleet operating out of this location to **100% Electric Vehicles (EVs)** within 36 months of the Commencement Date. **13.2 Loading Docks.** All loading and

unloading operations must occur within the interior footprint of the Empire Stores. No double-parking or staging of brown delivery trucks is permitted on Water Street or New Dock Street.

13.3 Noise Mitigation. Logistics operations involving heavy sorting machinery must be sound-proofed to ensure that decibel levels at the exterior walls do not exceed **55 dB** between the hours of 8:00 PM and 8:00 AM.

COMMERCIAL LEASE AGREEMENT (Section 5 of 12)

This section outlines the "Triple Net" (NNN) structure of the lease, detailing the Tenant's absolute responsibility for maintenance, capital repairs, and the proportional sharing of park-wide expenses.

ARTICLE 14: MAINTENANCE AND REPAIRS

14.1 Tenant's General Maintenance Obligation. Tenant shall, at its sole cost and expense, keep and maintain the Premises (including the Empire Stores and the Tobacco Warehouse) in good order, condition, and repair. This includes all structural and non-structural components, interior and exterior, including but not limited to:

- The landmarked exterior brick masonry and schist walls.
- The heavy timber framing and internal structural support systems.
- All roofing systems and waterproofing membranes.
- All mechanical, electrical, plumbing (MEP), and life-safety systems.

14.2 Structural Integrity. Given the historical shifting and sinking noted in the northwest portion of the site, Tenant is specifically required to perform semi-annual structural engineering inspections. Any further settlement or instability must be addressed immediately by the Tenant through underpinning or additional bracing, subject to Landlord and LPC approval.

14.3 Capital Replacements. Tenant acknowledges that this is a "bond-type" lease. If any portion of the Improvements (e.g., HVAC chillers, elevators, or the roof) reaches the end of its useful life during the 99-year term, Tenant shall replace such items at its own expense. No "Capital Reserve" shall be provided by the Landlord.

ARTICLE 15: TAXES AND ASSESSMENTS

15.1 Real Estate Taxes. Tenant shall pay 100% of all Real Estate Taxes, assessments, and "Payments in Lieu of Taxes" (PILOT) levied against the Premises.

- **Assessment Base:** For the purpose of this Lease, the assessed value shall be based on the "As-Complete" valuation of the conversion property, estimated at **\$135,000,000.00**.
- **Tax Rate:** Based on the current NYC Class 4 tax rate, the estimated annual tax liability is approximately **\$14,400,000.00**, subject to annual adjustments by the NYC Department of Finance.

15.2 Business Improvement District (BID) Charges. Tenant shall be responsible for its pro-rata share of any BID assessments applicable to the DUMBO waterfront area.

ARTICLE 16: OPERATING EXPENSES (THE NNN RECOVERY)

16.1 Operating Expenses Defined. "Operating Expenses" shall include all costs incurred by Landlord in the operation, management, and security of the "Common Areas" surrounding the Premises, including the Pedestrian Pathway (Old Dock Street) and the adjacent sections of Brooklyn Bridge Park.

16.2 Pro-Rata Share. Tenant's "Pro-Rata Share" of park-wide maintenance is established at **15.4%**, based on the ratio of the Premises' land area (115,533 sq. ft.) to the total Phase 1 area of the Park.

16.3 Expense Categories. These expenses include, but are not limited to:

- **Park Security:** 24/7 patrolling of the waterfront.
- **Landscaping:** Maintenance of the vegetation surrounding the Empire Stores.
- **Snow Removal:** Clearing of the Pedestrian Pathway and Water Street sidewalks.
- **Pest Control:** Specialized waterfront vermin mitigation programs.

ARTICLE 17: UTILITIES AND SERVICE COSTS

17.1 Direct Metering. Tenant shall be responsible for the direct payment of all utility charges.

- **Water/Sewer:** Tenant shall pay for water consumption based on a master meter installed at the Water Street connection.
- **Electricity:** Tenant shall contract directly with Con Edison for high-voltage service. Due to UPS's EV fleet charging requirements, Tenant shall maintain a dedicated 4,000-amp service.
- **Waste Removal:** Tenant must contract with a private carter for all refuse and recycling, ensuring that all trash is stored in "climate-controlled, odor-proof" interior rooms until pickup to avoid attracting pests from the park.

ARTICLE 18: EVENTS OF DEFAULT

18.1 Monetary Default. The occurrence of any of the following shall constitute a "Monetary Default":

- Tenant fails to pay any installment of Base Rent, Percentage Rent, or NNN Charges within ten (10) days of the due date.
- Tenant fails to maintain the required Insurance Policies as outlined in Article 9, representing a material risk to the Landlord's asset.

18.2 Non-Monetary Default. The occurrence of any of the following shall constitute a "Non-Monetary Default":

- **Landmark Violation:** Failure to maintain the exterior schist and brick walls of the Empire Stores or Tobacco Warehouse in accordance with the Landmarks Preservation Commission (LPC) standards.
- **Unauthorized Use:** Utilizing the Premises for prohibited industrial purposes or failing to transition to an EV fleet as required in Article 13.
- **Construction Delay:** Failure to achieve "Substantial Completion" of the Vanilla Box renovations within the 60-month Construction Period, subject to Force Majeure.
- **Bankruptcy:** The filing of a petition for relief under the Bankruptcy Code by or against Tenant.

ARTICLE 19: REMEDIES

19.1 Termination of Lease. Upon the occurrence of an Event of Default that remains uncured after the applicable notice period (30 days for non-monetary, 10 days for monetary), Landlord shall have the right to terminate this Lease and the Term hereby demised by giving Tenant written notice of Landlord's intention to terminate.

19.2 Cumulative Remedies. All rights and remedies of Landlord under this Lease shall be cumulative and none shall exclude any other rights or remedies allowed by law or in equity.

19.3 Liquidated Damages. Given the unique nature of the Brooklyn Bridge Park site, if Tenant defaults on its construction obligations, Tenant shall pay to Landlord as liquidated damages (and not as a penalty) the sum of **\$25,000.00 per day** for every day the project remains uncompleted beyond the Construction Period.

ARTICLE 20: LANDLORD'S SELF-HELP RIGHTS

20.1 Emergency Repairs. Because the Empire Stores and Tobacco Warehouse are of significant historical importance to the City of New York, if Tenant fails to perform any maintenance or repair necessary to prevent structural collapse or "irremediable decay" of the landmarked elements, Landlord may (but shall not be obligated to) enter the Premises and perform such repairs.

20.2 Reimbursement. All costs incurred by Landlord in exercising its Self-Help rights—including architectural fees, masonry specialists, and a 15% administrative surcharge—shall be deemed "Additional Rent" and shall be due and payable by Tenant within thirty (30) days of billing.

ARTICLE 21: CURE PERIODS AND GRACE PERIODS

21.1 Notice of Default. Landlord shall provide Tenant with written notice specifying the nature of the default.

- **Monetary:** 10-day cure period.
- **Non-Monetary:** 30-day cure period.

- **Extended Cure:** If a non-monetary default is of such a nature that it cannot reasonably be cured within 30 days (e.g., complex structural stabilization), Tenant shall not be in default if it commences the cure within the 30-day period and diligently prosecutes the same to completion.

ARTICLE 22: SURRENDER OF PREMISES

22.1 Condition at Surrender. Upon the expiration of the 99-year term on June 30, 2125, or any earlier termination, Tenant shall surrender the Premises to Landlord in "Good Warehouse and Office Condition," broom clean and free of all Tenant's personal property, logistics equipment, and debris.

22.2 Structural Integrity at Return. Notwithstanding the 99 years of use, Tenant shall ensure that the Empire Stores and Tobacco Warehouse are structurally sound at the time of surrender. This includes:

- **Masonry:** All exterior schist and brickwork must be pointed and free of significant spalling or cracking.
- **Roofing:** The roofing systems must have at least ten (10) years of remaining useful life, supported by a certified roofing inspector's report.
- **Systems:** All "Building Systems" (elevators, HVAC, electrical mains) installed during the term shall become the property of the Landlord and must be in functional working order.

22.3 Removal of Logistics Infrastructure. Tenant (UPS) shall be required to remove all specialized logistics equipment, including automated sorting belts, EV charging arrays, and hydraulic dock levelers, unless Landlord requests in writing that such items remain. Tenant shall repair any damage caused by the removal of such equipment.

ARTICLE 23: HOLDOVER

23.1 Status of Holdover. If Tenant remains in possession of the Premises after the expiration of the Term without the execution of a new lease or a written extension, Tenant shall be deemed a "Tenant-at-Sufferance."

23.2 Holdover Rent. During any such holdover period, Tenant shall pay Base Rent at a rate equal to **200% of the Base Rent** payable during the final year of the Lease Term (\$2,040,000.00+ adjusted by 2.5% annual escalations).

23.3 Liability for Consequential Damages. Tenant shall be liable for all damages, including consequential damages and "Loss of Opportunity" costs, incurred by Landlord due to Tenant's failure to vacate. Given the public nature of Brooklyn Bridge Park, this may include the loss of subsequent development grants or public funding.

ARTICLE 24: ABANDONED PROPERTY

24.1 Deemed Abandonment. Any personal property of Tenant or any sub-tenant remaining at the Premises more than ten (10) days after the expiration or termination of the Lease shall be deemed abandoned. Landlord may dispose of such property at Tenant's expense without liability.

ARTICLE 25: ESTOPPEL CERTIFICATES

25.1 Requirement. Within twenty (20) days of a request by Landlord (frequently required for municipal auditing or refinancing of the Park's master bonds), Tenant shall execute and deliver an "Estoppel Certificate" certifying:

- That the Lease is in full force and effect.
- The date to which Rent has been paid.
- That no defaults exist (or specifying any alleged defaults).

ARTICLE 26: RIGHT OF FIRST REFUSAL (ROFR)

26.1 Grant of Right. During the first twenty-five (25) years of the Lease Term, Landlord hereby grants to Tenant (UPS) a Right of First Refusal ("ROFR") to lease any additional contiguous land parcels within Block 26 that may become available for commercial development, specifically including the "Main Street" section of Brooklyn Bridge Park.

26.2 Procedure. If Landlord receives a bona fide written offer from a third party to lease an adjacent parcel, Landlord shall provide Tenant with a copy of the offer. Tenant shall have sixty (60) days to elect to lease said parcel on the same terms and conditions.

26.3 Exclusion for Public Use. The ROFR shall not apply if the Landlord elects to develop the adjacent parcels for non-commercial, purely public recreational use, such as playgrounds, lawns, or public restrooms.

ARTICLE 27: SUBORDINATION, NON-DISTURBANCE, AND ATTORNMENT (SNDA)

27.1 Subordination. This Lease, and all rights of Tenant hereunder, are and shall be subject and subordinate to all ground leases, overriding leases, and mortgages now or hereafter affecting the Premises.

27.2 Non-Disturbance. Landlord shall obtain for the benefit of Tenant a "Non-Disturbance Agreement" from any current or future mortgagee. This agreement shall provide that so long as Tenant is not in default under this Lease, Tenant's possession of the Premises shall not be disturbed, nor shall this Lease be terminated, in the event of a foreclosure of the mortgage.

27.3 Attornment. In the event of a foreclosure or the exercise of the power of sale under any mortgage, Tenant shall "attorn" to the purchaser (recognize them as the new Landlord) and this Lease shall continue in full force and effect as a direct lease between the purchaser and Tenant.

ARTICLE 28: ESTOPPEL CERTIFICATES AND FINANCING

28.1 Tenant's Financing. Tenant shall have the right to grant a "Leasehold Mortgage" on its interest in this Lease to a recognized institutional lender (e.g., JPMorgan Chase or Citibank) to finance the **\$86,305,660.00 renovation costs**.

28.2 Landlord's Cooperation. Landlord agrees to execute such "Landlord Consents" as may be reasonably required by Tenant's lender, provided that such consents do not diminish Landlord's rights or increase Landlord's obligations under this Lease.

ARTICLE 29: PUBLIC BENEFIT REPORTING

29.1 Annual Audit. Because the Premises are part of a public park development, Tenant shall provide an annual report to the Brooklyn Bridge Park Corporation detailing:

- Total number of UPS employees stationed at the site.
- Total number of EV delivery miles driven starting from the DUMBO hub.
- A summary of the "Cultural Programming" conducted in the Tobacco Warehouse by the cultural sub-tenant.

ARTICLE 30: CASUALTY AND DESTRUCTION

30.1 Tenant's Obligation to Restore. In the event of damage to or destruction of the Empire Stores or the Tobacco Warehouse by fire, flood, or other casualty, this Lease shall not terminate. Tenant shall, at its sole cost and expense, promptly restore, repair, replace, or rebuild the Improvements to a condition at least equal to their condition immediately prior to such casualty.

30.2 Landmark Restoration Standards. Any restoration following a casualty must strictly adhere to the Landmarks Preservation Commission (LPC) guidelines. This includes the sourcing of matching historic schist and brick for the exterior walls. Tenant acknowledges that such specialized restoration may incur costs significantly higher than standard commercial reconstruction.

30.3 Application of Insurance Proceeds. All insurance proceeds recovered by Tenant under the "All-Risk" and "Flood" policies (as required in Article 9) shall be held in a dedicated "Restoration Escrow Account." These funds shall be disbursed in installments as restoration work progresses, subject to the approval of an independent supervising architect.

30.4 Rent Abatement. In the event of a "Major Casualty" (defined as damage affecting more than 50% of the Gross Building Area), Base Rent shall be abated in proportion to the part of the Premises rendered unusable, but only to the extent that Tenant's "Business Interruption Insurance" does not cover the loss of rent.

ARTICLE 31: CONDEMNATION (EMINENT DOMAIN)

31.1 Total Taking. If the entire Premises shall be taken by any public or quasi-public authority under the power of eminent domain, this Lease shall terminate as of the date of the taking.

31.2 Partial Taking. In the event of a partial taking that does not render the Premises unusable for UPS's logistics operations (e.g., a taking of 10,000 square feet for a new park access road), the Lease shall remain in effect, but Base Rent shall be reduced proportionately based on the square footage lost.

31.3 Condemnation Award. * Landlord's Share: Landlord shall be entitled to the portion of the award representing the value of the "Fee Interest" and the land.

- **Tenant's Share:** Tenant shall be entitled to the portion of the award representing the value of the "Leasehold Interest" and the unamortized value of the **\$86,305,660.00 renovation costs** and any tenant-installed fixtures.

ARTICLE 32: WATERFRONT CONTINGENCY (SEA LEVEL RISE)

32.1 Mandatory Mitigation Review. Every fifteen (15) years during the Term, Tenant shall commission a "Sea Level Rise Impact Study" from a qualified marine engineering firm. **32.2 Adaptive Measures.** If the study indicates that the "Base Flood Elevation" has risen such that the ground floors of the Empire Stores are at risk of "Regular Inundation" (more than 4 times per year), Tenant shall be required to install additional permanent or deployable flood barriers (e.g., "aquafences") at its own expense to protect the landmarked shells.

ARTICLE 33: INDEMNIFICATION AND HOLD HARMLESS

33.1 Tenant's Indemnity. To the fullest extent permitted by law, Tenant (UPS) shall indemnify, defend, and hold harmless Landlord, the Brooklyn Bridge Park Corporation, and the City of New York (the "Indemnitees") from and against any and all claims, damages, losses, and expenses (including reasonable attorneys' fees) arising out of or resulting from:

- The use or occupancy of the Premises by Tenant or its sub-tenants.
- Any negligent act or omission of Tenant, its agents, or employees.
- Any breach of the environmental covenants set forth in Article 7.
- Any structural failure of the Improvements resulting from Tenant's failure to perform required maintenance under Article 14.

33.2 Landlord's Indemnity. Landlord shall indemnify and hold Tenant harmless from and against any claims arising from the gross negligence or willful misconduct of Landlord or its agents within the Common Areas of the Park.

33.3 Limitation of Liability. Notwithstanding anything to the contrary, Landlord's liability under this Lease shall be limited solely to its interest in the real property. No personal liability shall be asserted against any individual officer, director, or employee of the Brooklyn Bridge Park Development Corporation.

ARTICLE 34: NON-DISCRIMINATION AND EQUAL OPPORTUNITY

34.1 Employment Practices. Tenant shall not discriminate against any employee or applicant for employment because of race, creed, color, national origin, sex, age, disability, marital status, or sexual orientation. Tenant shall take affirmative action to ensure that "Minority and Women-owned Business Enterprises" (M/WBE) have an equal opportunity to compete for sub-contracts related to the **\$86.3M renovation**.

34.2 M/WBE Participation Goals. Tenant agrees to a "Good Faith Effort" goal of **30% M/WBE participation** for all hard and soft costs associated with the Construction Period. Tenant shall submit quarterly reports to the Landlord's Compliance Officer documenting these efforts.

34.3 Living Wage Requirements. All employees of Tenant and its sub-tenants working at the Premises shall be paid no less than the "Living Wage" as defined by the New York City Fair Wage Act, including all applicable health benefit supplements.

ARTICLE 35: QUIET ENJOYMENT

35.1 Landlord's Covenant. Landlord covenants and agrees that Tenant, upon paying the Rent and performing all covenants and conditions of this Lease, shall and may peaceably and quietly have, hold, and enjoy the Premises for the Term, subject to the "Reservation of Rights" for public access to the Pedestrian Pathway.

ARTICLE 36: ACCESSIBILITY (ADA COMPLIANCE)

36.1 Mandatory Upgrades. As part of the Empire Stores renovation, Tenant shall ensure the entire complex is 100% compliant with the **Americans with Disabilities Act (ADA)**.

- **Elevators:** One modern, ADA-compliant traction elevator must be installed in each of the seven (7) buildings.
- **Pathways:** The historic cobblestone/schist pathways within the Pedestrian Pathway must be leveled or fitted with "accessible routes" that do not compromise the historic aesthetic but allow for wheelchair navigation.

ARTICLE 37: SECURITY DEPOSIT AND LETTER OF CREDIT

37.1 Amount of Security. Upon the execution of this Lease, Tenant shall deposit with Landlord the sum of **TWENTY-FIVE MILLION DOLLARS (\$25,000,000.00)** (the "Security Deposit"). This amount is calculated to cover approximately two years of Base Rent and NNN expenses as protection for the public interest in the landmarked property.

37.2 Form of Security. The Security Deposit shall be maintained in the form of an **Irrevocable Standby Letter of Credit (LOC)** issued by a "Major Financial Institution" (defined as a bank with a credit rating of 'A' or better and a physical branch in New York City).

37.3 Use of Funds. Landlord may draw upon the LOC if Tenant fails to pay Rent beyond the applicable cure period or if Landlord must exercise its "Self-Help" rights to prevent structural decay of the Empire Stores or Tobacco Warehouse.

37.4 Annual Adjustment. On every fifth anniversary of the Commencement Date, the amount of the Security Deposit shall be adjusted to equal **200% of the then-current annual Base Rent**.

ARTICLE 38: GOVERNING LAW AND JURISDICTION

38.1 Governing Law. This Lease shall be governed by, and construed in accordance with, the laws of the **State of New York**.

38.2 Venue. Any litigation arising out of or related to this Lease shall be brought exclusively in the **Supreme Court of the State of New York, County of Kings (Brooklyn)**, or the United States District Court for the Eastern District of New York. Both parties waive any right to a trial by jury.

ARTICLE 39: DISPUTE RESOLUTION

39.1 Executive Mediation. In the event of a non-monetary dispute (e.g., a disagreement over historic masonry standards), the parties shall first attempt to resolve the matter through "Executive Mediation" between the Regional Vice President of UPS and the Executive Director of the Brooklyn Bridge Park Corporation.

39.2 Expedited Arbitration. If mediation fails within thirty (30) days, the dispute shall be submitted to binding arbitration under the **Commercial Arbitration Rules of the American Arbitration Association (AAA)**. The arbitrator must be a retired New York State Supreme Court Justice or an attorney with at least twenty (20) years of experience in New York City landmark and real estate law.

ARTICLE 40: LEASE ADMINISTRATION AND NOTICES

40.1 Delivery of Notices. All notices, requests, and other communications must be in writing and delivered via overnight courier (UPS Next Day Air) or certified mail, return receipt requested.

40.2 Notice Addresses.

- **To Landlord:** Brooklyn Bridge Park Development Corporation, 1 Centre Street, 20th Floor North, New York, NY 10007, Attn: Executive Director.
- **To Tenant:** United Parcel Service, Inc., 55 Glenlake Parkway, NE, Atlanta, GA 30328, Attn: General Counsel.

ARTICLE 41: MEMORANDUM OF LEASE

41.1 Recording. The parties shall not record this Lease in its entirety. Instead, simultaneously with the execution of this Lease, Landlord and Tenant shall execute a "Memorandum of Lease" in recordable form. **41.2 Public Record.** Tenant shall, at its own expense, record said Memorandum in the Office of the City Register of the City of New York (Kings County). This ensures that the 99-year leasehold interest is a matter of public record, providing constructive notice to all third parties and future encumbrancers.

ARTICLE 42: FORCE MAJEURE

42.1 Definition. "Force Majeure" shall mean any prevention, delay, or stoppage due to strikes, lockouts, labor disputes, acts of God (including but not limited to hurricanes, storm surges, and East River flooding), inability to obtain labor or materials, enemy or hostile government action, civil commotion, fire or other casualty, and other causes beyond the reasonable control of the party obligated to perform. **42.2 Extension of Time.** In the event of a Force Majeure occurrence, the period for the performance of any such act (specifically including the 60-month Construction Period) shall be extended for a period equivalent to the period of such delay. **42.3 Exception.** Notwithstanding the above, Force Majeure shall not excuse Tenant from the prompt payment of Base Rent, Additional Rent, or any other financial obligation after the Construction Period has concluded.

ARTICLE 43: BROKERAGE

43.1 No Brokers. Landlord and Tenant represent and warrant to each other that they have had no dealings with any real estate broker or agent in connection with the negotiation of this Lease. Each party shall indemnify the other against any claims for brokerage commissions or finder's fees.

ARTICLE 44: MISCELLANEOUS PROVISIONS

44.1 Entire Agreement. This Lease, including the referenced Appraisal and Letters of Resolution, contains the entire agreement between the parties. No prior oral or written statements shall have any force or effect. **44.2 Severability.** If any provision of this Lease is found to be invalid or unenforceable, the remainder of the Lease shall not be affected and shall remain in full force. **44.3 Successors and Assigns.** The covenants and agreements herein contained shall bind and inure to the benefit of the Landlord, its successors and assigns, and the Tenant and its permitted successors and assigns.

EXECUTION PAGE

IN WITNESS WHEREOF, the Landlord and Tenant have caused this Lease to be executed by their duly authorized representatives as of the day and year first above written.

LANDLORD: BROOKLYN BRIDGE PARK DEVELOPMENT CORPORATION

By: _____

Name: Charles R. Kamps

Title: Executive Director

TENANT: UNITED PARCEL SERVICE, INC. (UPS)

By: _____

Name: Carol B. Tomé

Title: Chief Executive Officer

APPROVED AS TO FORM: By: _____

Office of the Corporation Counsel, City of New York

NOTARY ACKNOWLEDGMENTS

STATE OF NEW YORK) COUNTY OF NEW YORK) ss.:

On the 11th day of March in the year 2026, before me, the undersigned, personally appeared Charles R. Kamps, personally known to me or proved to me on the basis of satisfactory evidence to be the individual whose name is subscribed to the within instrument and acknowledged to me that he executed the same in his capacity, and that by his signature on the instrument, the individual, or the person upon behalf of which the individual acted, executed the instrument.

Notary Public